GMS WEEKLY

Your Source for Recycling News

December 30th, 2022
Volume 245, Issue 1063
Week 52

Highlights:

- **Year closing.**
- **Sentiments down.**
- **Bangla woes.**
- **Price plunge.**
- **Empty ports.**
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QUOTE of the WEEK

"Belief creates the actual fact."

– William James

MARKET COMMENTARY

HAPPY NEW CHEER!

As we close out another year, sub-continent markets remain suspended at their weakest point for some time now. Pricing remains firm (given the historical price average has been around USD 350/LDT or so), but sentiments and conditions on the ground across all locations remain somewhat precarious.

While Bangladesh has been the main proponent of such concern – given the ongoing financial crisis that has resulted in the Bangladeshi government restricting the sanctioning of new Letters of Credit (L/Cs) for even the smallest purchases of USD 1 million and below – this week, the Pakistani government threw its hat in the ring as well, restricting a bevy of L/Cs being sanctioned on recent local purchases.

Only very few Bangladeshi buyers with private financing and Usance L/Cs are able to acquire new units, but even so, many end users seem content to take a break and watch market developments before committing afresh, with prices so uncertain.

The picture in India remains slightly rosier, even though levels have cooled off some USD 200/LDT since the peaks of over USD 700/LDT seen earlier this year. On the far end, Turkey spent another slow week devoid of tonnage, but reported marginal improvements in import and local steel – without much fanfare.

Overall, it seems many end buyers are likely still cautious, given the sustained ferocity of the falls, and having filled their plots with more expensive units at the start of the year, are now troubled as to when to buy anew to even out those losses.

Port reports have been a testament to the fact that there have been very few arrivals over the last 6 months and only now that tonnage flow is starting to increase are we seeing some movement in those markets that are able to import new vessels at some increasingly bullish numbers.

For week 52 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	Weak	520 / LDT	530 / LDT	540 / LDT
2	India	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

All at GMS would like to wish readers a Happy New Year and a Prosperous 2023 ahead!

BANGLADESH

Dormant!

Plots empty.

No market sales of any significance have reportedly taken place into Bangladesh over the last few months of 2022, and the outlook indeed remains somewhat bleak unless a swift and steady injection of cash can be made to free up funds for acquiring new units.

The heavily anticipated IMF loan may bring some stability early next year, but it is still uncertain to what extent this will help prop up the market again, given that fundamentals here are still shaky.

No life.

The Bangladeshi Taka briefly skipped past 105 against the U.S. Dollar, only to end the week at BDT 102.30. Even local steel plate prices, which remained flat for most of the week, did find the opportunity to fall back about USD 8/Ton before the end of the week.

With an increase of vessels set to potentially hit the market (particularly in the dry bulk and container sectors) next year, this would be a good time to kickstart a presently dormant industry back to life.

NO MARKET SALES REPORTED

INDIA

PAYBACK!

Many HKC sales (particularly from blue chip container owners) have been focused on Alang yards of late, who are finally seeing the fruits of their HKC dedication and investments into improving yards and safety standards that are finally bearing fruit.

HKC sales.

None of the recent array of vessels sold can go to Pakistan or even the few HKC approved yards in Bangladesh, and this is of great advantage to an Alang market that is struggling on prices at the moment and the fundamentals aren't doing much to help either.

Volatility of local steel prices continues to play with the local mindset as levels dropped by about USD 10/Ton, only to have climbed USD 15/Ton by the weekend. Even the currency continues to trade in the high Rs. 82s against the U.S. Dollar, leaving End Buyers reluctant to even pitch in on an increasing number of new sales at firm and workable market numbers.

Fundamentals struggle.

NO MARKET SALES REPORTED

PAKISTAN

HOPE...SHATTERED?!

Top priced.

Gadani remains the top priced market as we close out the year and End Buyers have finally been able to commit to fill idle plots with a variety of mostly dry bulk sales, or at least attempted to as this week, news finally broke that Pakistan's central bank is not opening any fresh L/Cs for local recyclers – which is catastrophic to the industry, especially as vessels now start to arrive the local waterfront.

Worst over?

Several capes and Panamax bulkers have been sold to local Buyers who finally seemed keen to make the most of a market that has slid into the New Year and with levels in the low 500s/LDT (down about USD 200/LDT from the highs earlier in the year).

Like with global markets, fundamentals here remain weak as well as plate prices flatlined this week, whilst the Pakistani Rupee continues to deteriorate by the week against the U.S. Dollar as it passes PKR 225.50

As such, while we had hoped Pakistan would look on with renewed hope towards 2023, perhaps the worst woes of 2022 are not entirely behind them.

NO MARKET SALES REPORTED

TURKEY

2023 HOPES?

Just as the Pakistani market felt like it would have made it across the New Year with fresh sales and optimism to back, but have sadly taken 3 steps back, the Turkish market seems to be in a similar position.

Like Pakistan?

Although local steel plate prices have finally made some improvements this week, a case of "too little too late" seems to have permeated in Aliaga as well, as no real movement in prices has been noted for some months now. Even the Lira – like the PKR – is dangling at its lowest against the U.S. Dollar (around TRY 18.6).

As such, we can only hope this market makes a return to form so that at least EU based tonnage can find a home at a yard in Turkey.

EU based tonnage.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Roller coasters were invented to distract Americans from sin. In the 1880s, hosiery businessman LaMarcus Thompson hated that Americans were tempted by hedonistic places like saloons and brothels. So he set out to straighten up one of the most immoral places he could think of: Coney Island in New York. There, he built America's first roller coaster to give New Yorkers some good, clean fun—away from seedier pastimes.*
- *Ice pops were invented by an 11-year-old by accident. In 1905, an 11-year-old boy named Frank Epperson left soda powder and water outside overnight with its wooden stirrer still in the cup. The mixture had frozen in the chilly nighttime weather, and so the Epsicle was born. He sold the treat around his neighborhood and a nearby amusement park and even patented the recipe. Years later, he changed the name to Popsicle because that's what his kids called their pop's concoction.*
- *Sloths can hold their breath longer than dolphins can. By slowing their heart rates, sloths can hold their breath for up to 40 minutes. Dolphins need to come up for air after about ten minutes.*
- *A woman was elected to Congress before women's suffrage. American women were given the right to vote in 1920, but Jeanette Rankin became the first woman in the U.S. federal office in 1916.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
January 01 – New Year's Day January 26 – Republic Day	January 04 – January 11 January 19 – January 27

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
January 01 – Bank Holiday	January 07 – January 10 January 22 – January 25

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 01 – 02 – New Year's Day January 21 – 27 – Spring Festival	January 01 – Bank Holiday	January 01 – New Year's Day

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ALANG - Port Position as of December 30, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Berge Apo	20,668	Bulk Carrier	Beached December 24
2	Ethan	7,700	Bulk Carrier	Beached December 23
Total Tonnage		28,368		

CHATTOGRAM - Port Position as of December 30, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	An Ping 8	9,804	Bulk Carrier	Beached December 24
2	Ariana	15,672	Tanker	Arrived June 22
3	Bell	7,995	Bulk Carrier	Beached December 24
4	Funning 2	5,002	Bulk Carrier	Beached December 24
5	Gala	16,885	Tanker	Arrived February 28
6	Hai Feng 698	7,240	Reefer	Arrived December 21
7	Joint Luck	2,063	Tanker	Arrived December 24
8	Mei Zhou I	9,453	Bulk Carrier	Beached December 24
9	Shun Rong	880	Tanker	Arrived December 23
10	Sylt	2,002	Tanker	Arrived December 24
11	Winton T128	975	Bulk Carrier	Arrived June 23
Total Tonnage		77,970		

GADANI - Port Position as of December 30, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jamila	7,700	Bulk Carrier	Arrived December 28
2	Lila Kyoto	21,221	Bulk Carrier	Arrived December 27
Total Tonnage		28,921		

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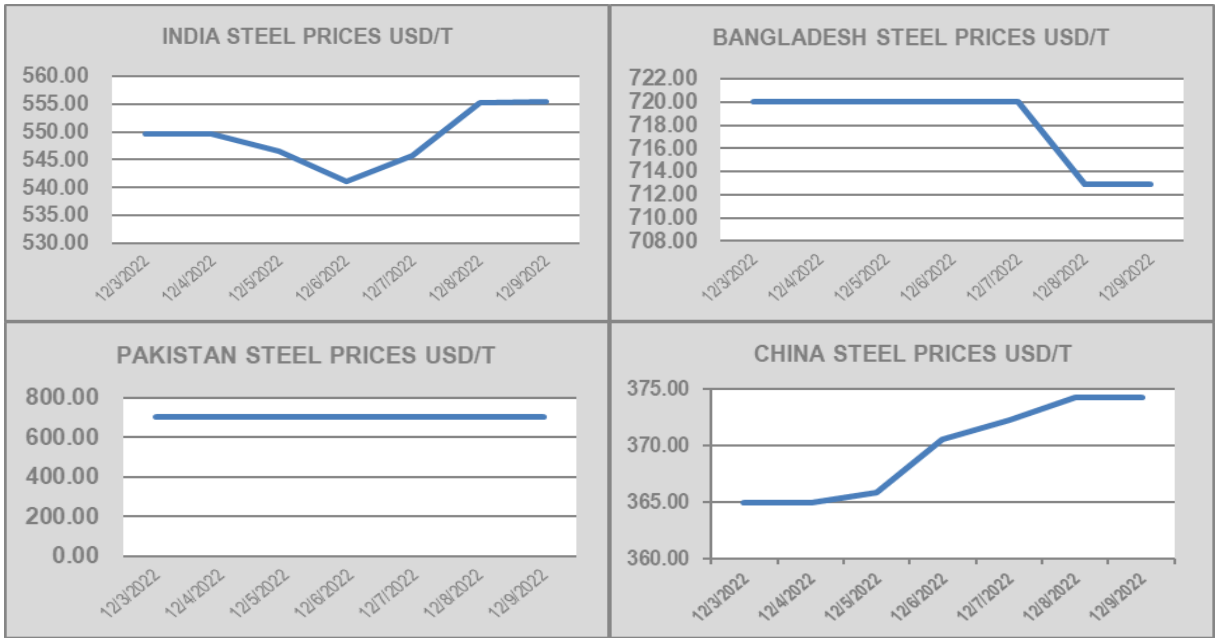
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/3/2022	549.68	44,700.00	704.10	158,000.00	720.00	72,000.00	365.03
12/4/2022	549.68	44,700.00	704.10	158,000.00	720.00	72,000.00	365.03
12/5/2022	546.52	44,700.00	704.10	158,000.00	720.00	72,000.00	365.85
12/6/2022	541.03	44,700.00	704.10	158,000.00	720.00	72,000.00	370.63
12/7/2022	545.65	45,000.00	704.10	158,000.00	720.00	72,000.00	372.28
12/8/2022	555.29	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25
12/9/2022	555.49	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25



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